

UNDERSTANDING YOUR

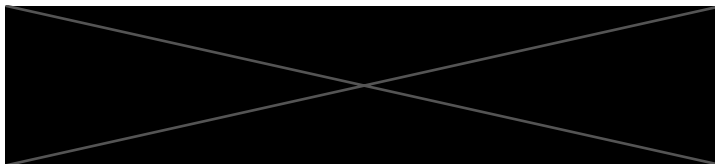
Social Security Strategy



For Dennis and Fran S

Presented by:

Dan



Important Notes

This report of your Social Security benefits is based on the information you provided. Its purpose is to help you frame your thoughts and become better informed before filing. It shows strategies and age combinations that you might not have considered. This report is not intended to provide an exact analysis, but it will help you determine the filing method and age you want to start your benefits. This report reflects the provisions and restrictions included in the Bipartisan Budget Act of 2015.

This report assumes that you stop work when you start your Social Security benefits. Prior to full retirement age, your earnings from continuing to work may result in your benefits being reduced or withheld. When you reach full retirement age, an adjustment is made to restore any reduced or withheld benefits. After full retirement age, there is no benefit reduction for wages or self-employment earnings.

A portion of your Social Security benefits may be taxable. Since other sources of retirement income can affect taxation of your benefits, proper income tax planning can only be done as part of a comprehensive retirement income plan. The actual income taxation of Social Security benefits will depend on the facts and circumstances at the time the benefits are received. Any illustration of the potential income taxation of Social Security benefits is an estimate.

If you have questions not covered in this report, your Social Security Administration office and its website (www.ssa.gov) are excellent sources of additional information.

IMPORTANT: The projections or other information generated in this report regarding the likelihood of various investment outcomes are hypothetical in nature, do not reflect actual investment results, and are not guarantees of future results.

This tool and support materials are designed to provide general information on the subjects covered. It is not intended to provide specific legal or tax advice. You should discuss all strategies with your legal, tax, and financial advisors.

Planning for Social Security Retirement Benefits

For some people, choosing the right time to file for Social Security retirement benefits appears to be straightforward. Some choose to take benefits at age 62, as soon as they become available. Some choose to take benefits at the same time they stop working. While others delay claiming benefits just to get a higher benefit payment. Unfortunately, it might not be that simple. Indeed, for many, the decision is more complicated.

Most people should ask, and get answers to, the following questions:

- At what age should I file for benefits?
- At what age should my spouse file for benefits?
- When does it make sense to claim a spousal benefit?
- How do I make sure my spouse gets the largest survivor benefit?
- How do we know which of the common filing methods might be right for us?
- If one of us lives a long life, how does that affect our decision?

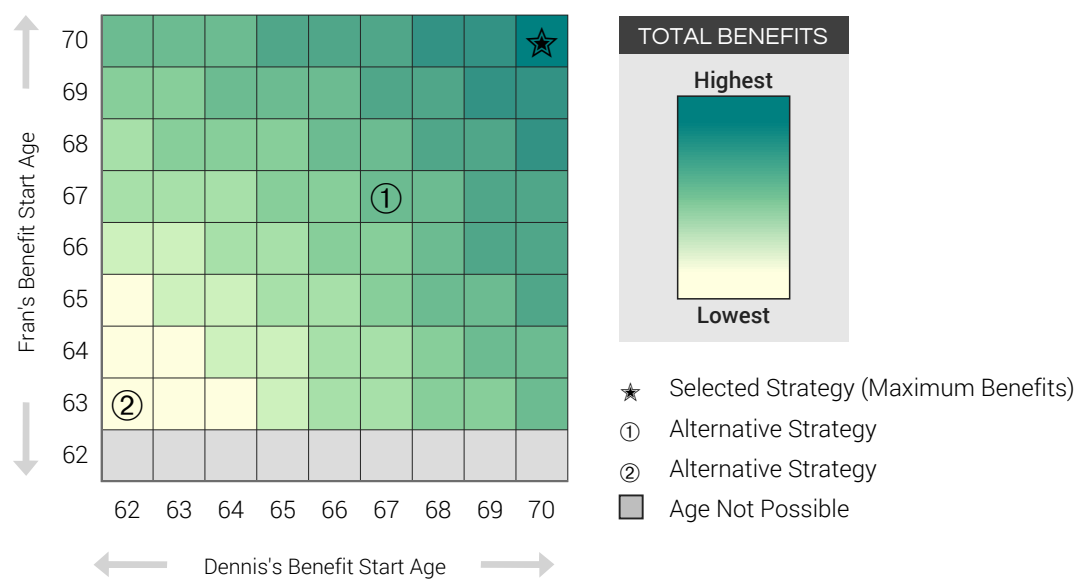
Clearly there can be a lot involved.

This report illustrates one or more Social Security retirement income planning strategies (start ages and filing method) that may help you reach your retirement income goals. Your Social Security benefits are shown before taxes in future dollars, assuming annual cost of living adjustments from today. The report is based on the information you provided below.

	DENNIS	FRAN
Date of Birth	1/4/1969	7/4/1962
Full Retirement Age (FRA)	67	67
Monthly benefit at FRA ¹	\$1,631	\$1,331
Assume live to	89	90
Rate of return for cumulative value of benefits		0%
Social Security cost of living adjustment		2.5%
Effective income tax rate		25%
Modified Adjusted Gross Income		\$0

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Social Security Strategy



What Does This Mean?

The above grid represents the filing age combinations for starting Social Security benefits. Total benefits are calculated for each available age combination. The darker the square, the higher the total value for a given age combination. The star represents the age combination with the highest overall total. If more than one combination results in the same total, the earliest possible age combination is shown. The check shows an alternative start age combination.

The strategy selected and emphasized in this report starts benefits for Dennis at age 70 and Fran at age 70 (the start ages that will provide maximum benefits over the projected lifetimes). The difference shown below is how much less benefit would be received if an alternative start age combination is selected.

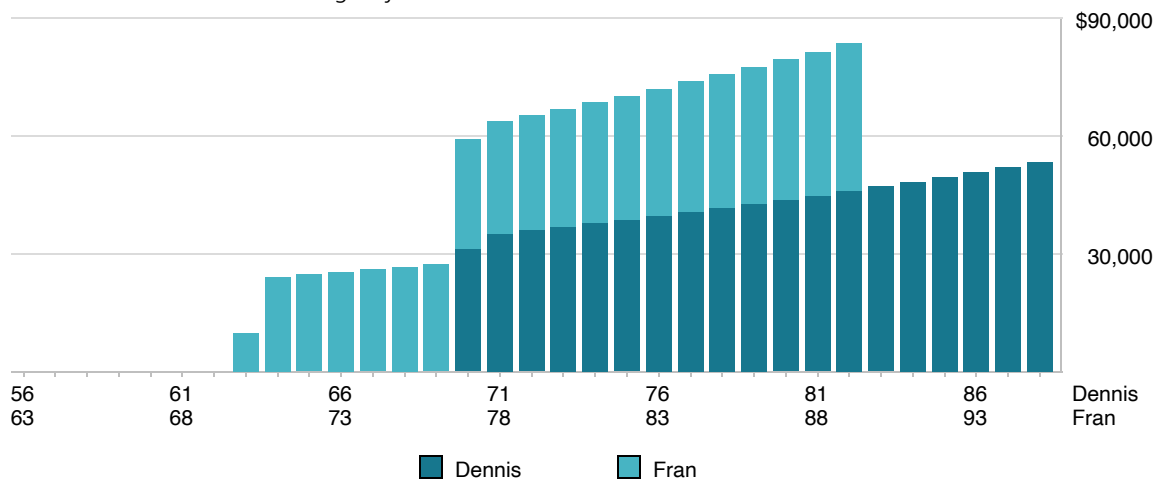
SELECTED START AGES		CUMULATIVE VALUE ¹	
★ Dennis at 70, Fran at 70		\$1,405,900	
ALTERNATIVE START AGES		CUMULATIVE VALUE ¹	DIFFERENCE FROM SELECTED
① Dennis at 67, Fran at 67		\$1,268,001	\$137,899 less
② Dennis at 62, Fran at 63		\$1,050,466	\$355,434 less

¹ Cumulative value calculated through 2057.

★ Selected Strategy (Maximum Benefits)

	DENNIS	FRAN	CUMULATIVE VALUE OF BENEFITS
Current Age (at year end)	56	63	\$1,405,900 File for Benefits
Monthly benefit at FRA ¹	\$1,631	\$1,331	
Assume live to	89	90	
Start benefits at age	70	70	

ANNUAL BENEFITS BY YEAR
Assumes 2.5% Cost of Living Adjustments



			NEW MONTHLY BENEFITS			REASON
DATE	AGE ²	CHANGE FOR	DENNIS	FRAN	TOTAL	
Aug 2032	70	Fran	\$0	\$1,962	\$1,962	Start own retirement benefits
Feb 2039	70	Dennis	\$2,858	\$2,332	\$5,190	Start own retirement benefits

¹ This report assumes that you stop work when you start your Social Security benefits. Prior to full retirement age, your earnings from continuing to work may result in your benefits being reduced or withheld. When you reach full retirement age, an adjustment is made to restore any reduced or withheld benefits. After full retirement age, there is no benefit reduction for wages or self-employment earnings.

² Age at end of year illustrated.

Annual Social Security Benefits

Assumes 2.5% Cost of Living Adjustment

Year	DENNIS				FRAN			TOTAL	
	Age ¹	Retirement	Spousal	Survivor	Age ¹	Retirement	Spousal	Annual Total	Cumulative
2025	56	0	0	0	63	0	0	0	0
2026	57	0	0	0	64	0	0	0	0
2027	58	0	0	0	65	0	0	0	0
2028	59	0	0	0	66	0	0	0	0
2029	60	0	0	0	67	0	0	0	0
2030	61	0	0	0	68	0	0	0	0
2031	62	0	0	0	69	0	0	0	0
2032	63	0	0	0	70	9,810	0	9,810	9,810
2033	64	0	0	0	71	24,132	0	24,132	33,942
2034	65	0	0	0	72	24,732	0	24,732	58,674
2035	66	0	0	0	73	25,356	0	25,356	84,030
2036	67	0	0	0	74	25,992	0	25,992	110,022
2037	68	0	0	0	75	26,640	0	26,640	136,662
2038	69	0	0	0	76	27,300	0	27,300	163,962
2039	70	31,438	0	0	77	27,984	0	59,422	223,384
2040	71	35,148	0	0	78	28,680	0	63,828	287,212
2041	72	36,024	0	0	79	29,400	0	65,424	352,636
2042	73	36,924	0	0	80	30,132	0	67,056	419,692
2043	74	37,848	0	0	81	30,888	0	68,736	488,428
2044	75	38,796	0	0	82	31,656	0	70,452	558,880
2045	76	39,768	0	0	83	32,448	0	72,216	631,096
2046	77	40,764	0	0	84	33,264	0	74,028	705,124
2047	78	41,784	0	0	85	34,092	0	75,876	781,000
2048	79	42,828	0	0	86	34,944	0	77,772	858,772
2049	80	43,896	0	0	87	35,820	0	79,716	938,488
2050	81	44,988	0	0	88	36,720	0	81,708	1,020,196
2051	82	46,116	0	0	89	37,632	0	83,748	1,103,944
2052	83	47,268	0	0				47,268	1,151,212
2053	84	48,456	0	0				48,456	1,199,668
2054	85	49,668	0	0				49,668	1,249,336
2055	86	50,904	0	0				50,904	1,300,240
2056	87	52,176	0	0				52,176	1,352,416
2057	88	53,484	0	0				53,484	1,405,900

¹ Age at end of year illustrated.

Hypothetical Income Taxation

This illustration of the potential income taxation of Social Security benefits is an estimate. Social Security benefits are only one source of retirement income. Since other sources of retirement income can affect taxation of these benefits, proper income tax planning can only be done as part of a comprehensive retirement income plan. The actual income taxation of Social Security benefits will depend on the facts and circumstances at the time the benefits are received. Up to 85% of your Social Security benefits may be taxed.¹

Be sure to consider your retirement plan distributions. All distributions from IRAs and employer plans will be included in MAGI. Roth IRA distributions will not be included.

Assumes an effective income tax rate of 25%.

Hypothetical Income Taxes by Modified Adjusted Gross Income (MAGI)

YEAR	ANNUAL BENEFITS	MAGI \$0		MAGI \$25,000		MAGI \$50,000	
		INCOME TAX ON BENEFITS	AFTER-TAX BENEFITS	INCOME TAX ON BENEFITS	AFTER-TAX BENEFITS	INCOME TAX ON BENEFITS	AFTER-TAX BENEFITS
2032	\$9,810	\$0	\$9,810	\$0	\$9,810	\$2,085	\$7,725
2034	\$24,732	\$0	\$24,732	\$671	\$24,061	\$5,256	\$19,476
2039	\$59,422	\$0	\$59,422	\$3,776	\$55,646	\$9,089	\$50,333
2044	\$70,452	\$403	\$70,049	\$4,948	\$65,504	\$10,261	\$60,191
2049	\$79,716	\$982	\$78,734	\$5,932	\$73,784	\$11,245	\$68,471
2054	\$49,668	\$0	\$49,668	\$2,740	\$46,928	\$8,052	\$41,616
2057	\$53,484	\$0	\$53,484	\$3,145	\$50,339	\$8,458	\$45,026

¹ ssa.gov Retirement Benefits booklet. This percentage can be changed by Congress.

Action Plan

For Dennis starting benefits at age 70 and Fran starting benefits at age 70

✓	WHEN	WHO	ACTION	NOTES
☐	April 2032	Fran	File for benefits.	Apply 3 months prior to date benefits would start. Application may be made any time during this month.
☐	October 2038	Dennis	File for benefits.	Apply 3 months prior to date benefits would start. Application may be made any time during this month.
☐	At death of a spouse		When a spouse dies, the surviving spouse should notify the Social Security Administration of spouse's death.	Social Security provides a one-time payment of \$255 plus potential monthly survivors' benefits.

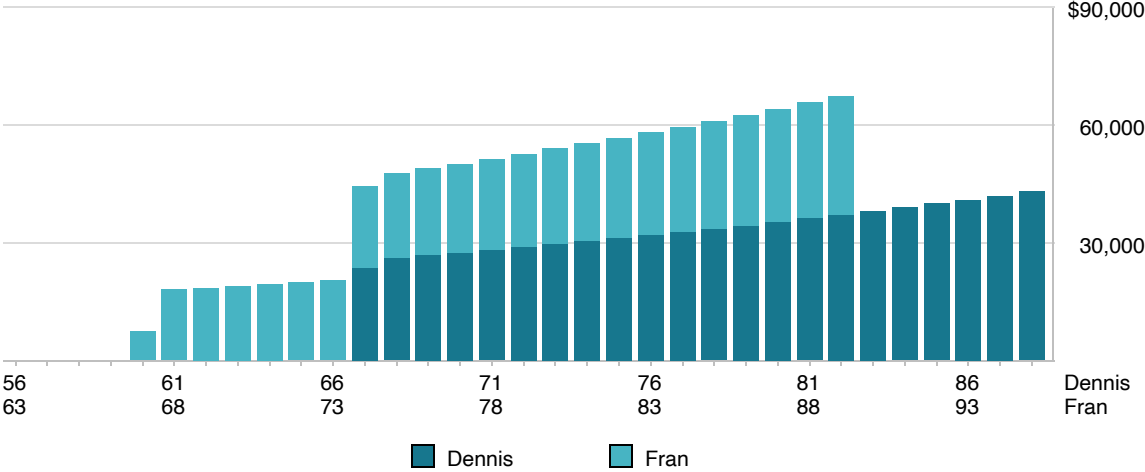
This schedule was prepared on February 19, 2025.

All items should be reviewed regularly and adjusted for any changes in Social Security rules, tax laws, or major life events of either Dennis or Fran. A review with your financial advisors annually is recommended.

① Alternative Strategy

	DENNIS	FRAN	CUMULATIVE VALUE OF BENEFITS
Current Age (at year end)	56	63	\$1,268,001 File for Benefits
Monthly benefit at FRA ¹	\$1,631	\$1,331	
Assume live to	89	90	
Start benefits at age	67	67	

ANNUAL BENEFITS BY YEAR
Assumes 2.5% Cost of Living Adjustments



			NEW MONTHLY BENEFITS			REASON
DATE	AGE ²	CHANGE FOR	DENNIS	FRAN	TOTAL	
Aug 2029	67	Fran	\$0	\$1,469	\$1,469	Start own retirement benefits
Feb 2036	67	Dennis	\$2,140	\$1,746	\$3,886	Start own retirement benefits

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² Age at end of year illustrated.

Annual Social Security Benefits

Assumes 2.5% Cost of Living Adjustment

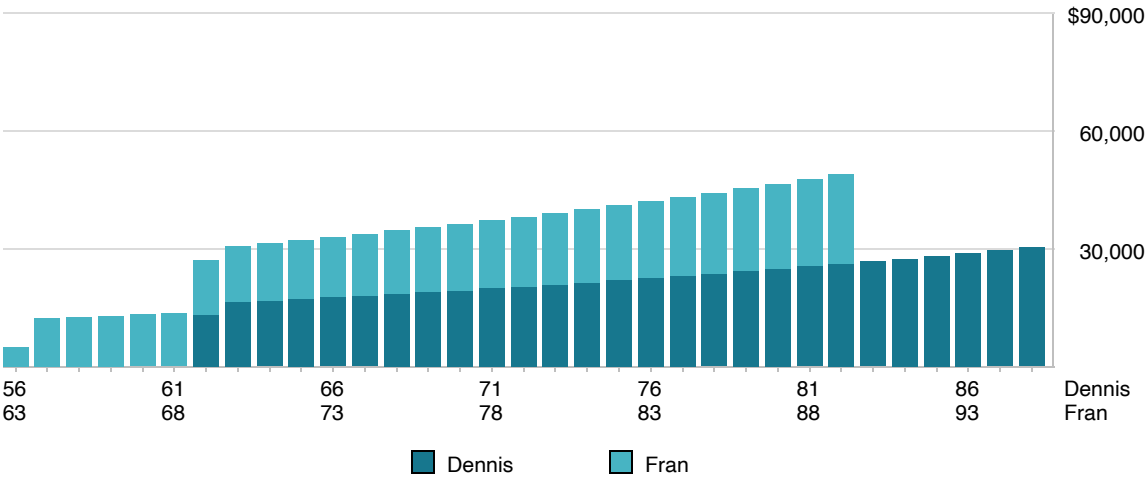
Year	DENNIS				FRAN			TOTAL	
	Age ¹	Retirement	Spousal	Survivor	Age ¹	Retirement	Spousal	Annual Total	Cumulative
2025	56	0	0	0	63	0	0	0	0
2026	57	0	0	0	64	0	0	0	0
2027	58	0	0	0	65	0	0	0	0
2028	59	0	0	0	66	0	0	0	0
2029	60	0	0	0	67	7,345	0	7,345	7,345
2030	61	0	0	0	68	18,072	0	18,072	25,417
2031	62	0	0	0	69	18,528	0	18,528	43,945
2032	63	0	0	0	70	18,984	0	18,984	62,929
2033	64	0	0	0	71	19,464	0	19,464	82,393
2034	65	0	0	0	72	19,944	0	19,944	102,337
2035	66	0	0	0	73	20,448	0	20,448	122,785
2036	67	23,540	0	0	74	20,952	0	44,492	167,277
2037	68	26,328	0	0	75	21,480	0	47,808	215,085
2038	69	26,976	0	0	76	22,020	0	48,996	264,081
2039	70	27,660	0	0	77	22,572	0	50,232	314,313
2040	71	28,344	0	0	78	23,136	0	51,480	365,793
2041	72	29,052	0	0	79	23,712	0	52,764	418,557
2042	73	29,784	0	0	80	24,300	0	54,084	472,641
2043	74	30,528	0	0	81	24,912	0	55,440	528,081
2044	75	31,284	0	0	82	25,536	0	56,820	584,901
2045	76	32,076	0	0	83	26,172	0	58,248	643,149
2046	77	32,868	0	0	84	26,832	0	59,700	702,849
2047	78	33,696	0	0	85	27,492	0	61,188	764,037
2048	79	34,536	0	0	86	28,188	0	62,724	826,761
2049	80	35,400	0	0	87	28,884	0	64,284	891,045
2050	81	36,288	0	0	88	29,616	0	65,904	956,949
2051	82	37,188	0	0	89	30,348	0	67,536	1,024,485
2052	83	38,124	0	0				38,124	1,062,609
2053	84	39,072	0	0				39,072	1,101,681
2054	85	40,056	0	0				40,056	1,141,737
2055	86	41,052	0	0				41,052	1,182,789
2056	87	42,084	0	0				42,084	1,224,873
2057	88	43,128	0	0				43,128	1,268,001

¹ Age at end of year illustrated.

② Alternative Strategy

	DENNIS	FRAN	CUMULATIVE VALUE OF BENEFITS
Current Age (at year end)	56	63	\$1,050,466 File for Benefits
Monthly benefit at FRA ¹	\$1,631	\$1,331	
Assume live to	89	90	
Start benefits at age	62	63	

ANNUAL BENEFITS BY YEAR
Assumes 2.5% Cost of Living Adjustments



			NEW MONTHLY BENEFITS			REASON
DATE	AGE ²	CHANGE FOR	DENNIS	FRAN	TOTAL	
Aug 2025	63	Fran	\$0	\$998	\$998	Start own retirement benefits
Mar 2031	62	Dennis	\$1,332	\$1,158	\$2,490	Start own retirement benefits

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² Age at end of year illustrated.

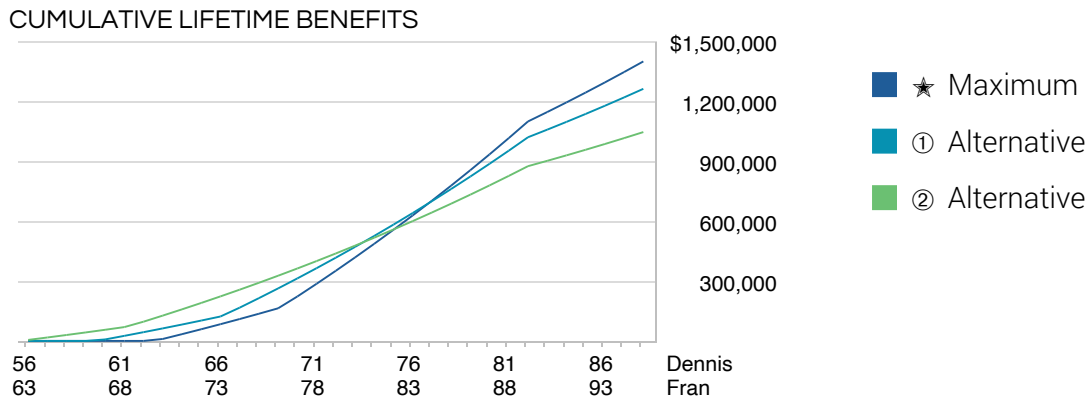
Annual Social Security Benefits

Assumes 2.5% Cost of Living Adjustment

Year	DENNIS				FRAN			TOTAL	
	Age ¹	Retirement	Spousal	Survivor	Age ¹	Retirement	Spousal	Annual Total	Cumulative
2025	56	0	0	0	63	4,990	0	4,990	4,990
2026	57	0	0	0	64	12,276	0	12,276	17,266
2027	58	0	0	0	65	12,588	0	12,588	29,854
2028	59	0	0	0	66	12,900	0	12,900	42,754
2029	60	0	0	0	67	13,224	0	13,224	55,978
2030	61	0	0	0	68	13,548	0	13,548	69,526
2031	62	13,320	0	0	69	13,896	0	27,216	96,742
2032	63	16,380	0	0	70	14,244	0	30,624	127,366
2033	64	16,788	0	0	71	14,592	0	31,380	158,746
2034	65	17,208	0	0	72	14,964	0	32,172	190,918
2035	66	17,640	0	0	73	15,336	0	32,976	223,894
2036	67	18,084	0	0	74	15,720	0	33,804	257,698
2037	68	18,540	0	0	75	16,116	0	34,656	292,354
2038	69	18,996	0	0	76	16,512	0	35,508	327,862
2039	70	19,476	0	0	77	16,932	0	36,408	364,270
2040	71	19,956	0	0	78	17,352	0	37,308	401,578
2041	72	20,460	0	0	79	17,784	0	38,244	439,822
2042	73	20,976	0	0	80	18,228	0	39,204	479,026
2043	74	21,492	0	0	81	18,684	0	40,176	519,202
2044	75	22,032	0	0	82	19,152	0	41,184	560,386
2045	76	22,584	0	0	83	19,632	0	42,216	602,602
2046	77	23,148	0	0	84	20,124	0	43,272	645,874
2047	78	23,724	0	0	85	20,628	0	44,352	690,226
2048	79	24,324	0	0	86	21,144	0	45,468	735,694
2049	80	24,924	0	0	87	21,672	0	46,596	782,290
2050	81	25,548	0	0	88	22,212	0	47,760	830,050
2051	82	26,184	0	0	89	22,764	0	48,948	878,998
2052	83	26,844	0	0				26,844	905,842
2053	84	27,516	0	0				27,516	933,358
2054	85	28,200	0	0				28,200	961,558
2055	86	28,908	0	0				28,908	990,466
2056	87	29,628	0	0				29,628	1,020,094
2057	88	30,372	0	0				30,372	1,050,466

¹ Age at end of year illustrated.

Comparison of Strategies



		ANNUAL BENEFIT			CUMULATIVE VALUE ¹		
Year	Ages	★ Maximum	① Alternative	② Alternative	★ Maximum	① Alternative	② Alternative
2025	56/63	0	0	4,990	0	0	4,990
2026	57/64	0	0	12,276	0	0	17,266
2027	58/65	0	0	12,588	0	0	29,854
2028	59/66	0	0	12,900	0	0	42,754
2029	60/67	0	7,345	13,224	0	7,345	55,978
2030	61/68	0	18,072	13,548	0	25,417	69,526
2031	62/69	0	18,528	27,216	0	43,945	96,742
2032	63/70	9,810	18,984	30,624	9,810	62,929	127,366
2033	64/71	24,132	19,464	31,380	33,942	82,393	158,746
2034	65/72	24,732	19,944	32,172	58,674	102,337	190,918
2035	66/73	25,356	20,448	32,976	84,030	122,785	223,894
2036	67/74	25,992	44,492	33,804	110,022	167,277	257,698
2037	68/75	26,640	47,808	34,656	136,662	215,085	292,354
2038	69/76	27,300	48,996	35,508	163,962	264,081	327,862
2039	70/77	59,422	50,232	36,408	223,384	314,313	364,270
2040	71/78	63,828	51,480	37,308	287,212	365,793	401,578
2041	72/79	65,424	52,764	38,244	352,636	418,557	439,822
2042	73/80	67,056	54,084	39,204	419,692	472,641	479,026
2043	74/81	68,736	55,440	40,176	488,428	528,081	519,202
2044	75/82	70,452	56,820	41,184	558,880	584,901	560,386
2045	76/83	72,216	58,248	42,216	631,096	643,149	602,602
2046	77/84	74,028	59,700	43,272	705,124	702,849	645,874
2047	78/85	75,876	61,188	44,352	781,000	764,037	690,226
2048	79/86	77,772	62,724	45,468	858,772	826,761	735,694
2049	80/87	79,716	64,284	46,596	938,488	891,045	782,290
2050	81/88	81,708	65,904	47,760	1,020,196	956,949	830,050
2051	82/89	83,748	67,536	48,948	1,103,944	1,024,485	878,998
2052	83	47,268	38,124	26,844	1,151,212	1,062,609	905,842
2053	84	48,456	39,072	27,516	1,199,668	1,101,681	933,358
2054	85	49,668	40,056	28,200	1,249,336	1,141,737	961,558
2055	86	50,904	41,052	28,908	1,300,240	1,182,789	990,466
2056	87	52,176	42,084	29,628	1,352,416	1,224,873	1,020,094

¹ Cumulative value calculated through 2057.

Year	Ages	ANNUAL BENEFIT			CUMULATIVE VALUE ¹		
		★ Maximum	① Alternative	② Alternative	★ Maximum	① Alternative	② Alternative
2057	88	53,484	43,128	30,372	1,405,900	1,268,001	1,050,466

Summary

SELECTED START AGES		CUMULATIVE VALUE ¹	
★ Dennis at 70, Fran at 70		\$1,405,900	
ALTERNATIVE START AGES		CUMULATIVE VALUE ¹	DIFFERENCE FROM SELECTED
① Dennis at 67, Fran at 67		\$1,268,001	\$137,899 less
② Dennis at 62, Fran at 63		\$1,050,466	\$355,434 less

¹ Cumulative value calculated through 2057.

Definitions and Additional Information

Full retirement age

Full retirement age (FRA) is the age at which a person may first become entitled to full or unreduced Social Security benefits. If your birthday is on January 1, the previous year's FRA will determine your full retirement age.

YEAR OF BIRTH	FULL RETIREMENT AGE
1943 through 1954	66
1955	66 and 2 months
1956	66 and 4 months
1957	66 and 6 months
1958	66 and 8 months
1959	66 and 10 months
1960 and later	67

Reductions for retirement before full retirement age

You may start Social Security retirement benefits as early as age 62; however, each month prior to FRA will result in a reduction in your benefits. This reduction ranges from 25% for those with a FRA of 66 to 30% for FRA of 67. The formula is 5/9 of 1% per month up to 36 months, plus 5/12 of 1% per month exceeding 36.

Delayed retirement credits for retirement after full retirement age

If you choose to delay starting Social Security benefits, you will receive an increase in your benefit amount of 8% per year up to age 70. After age 70 there are no further credits for delaying benefits. The credit is 2/3 of 1% for each month beyond FRA.

Monthly benefit at full retirement age

You can find your monthly benefit at full retirement age on your annual Social Security statement or from the on-line statement. The amount used in this report is the monthly value in today's dollars. This report automatically applies cost of living adjustments for you. This monthly benefit amount is also known as Primary Insurance Amount or PIA.

Spousal and family benefits

If you are receiving Social Security retirement benefits, your spouse and children may also qualify to receive benefits on your record. Your spouse or child may receive a monthly payment of up to one-half of your full retirement benefit amount, subject to a family maximum of approximately 150-180% of your full retirement payment. These payments will not reduce your retirement benefit. If there is more than one beneficiary, the payments are prorated among your family members eligible for benefits. However, if you suspend your benefits, all benefits based on your earnings will also be suspended. Individuals age 62 or younger in 2016 do not have this option.

Survivor benefits

Social Security provides survivor benefits for your family. If you die and your children are under 18, they are eligible for survivor benefits. In addition, your spouse qualifies for survivor benefits if age 60 or greater or caring for your children under age 16. Your spouse's survivor benefits when not caring for children under 16 will be reduced if benefits start prior to your spouse's full retirement age.

Family benefits

This report does not consider Social Security survivor or retirement payments available for children, which may increase the total benefits your family may receive.

Disability benefits

This report does not consider disability payments that you or your family may be eligible to receive.

Pensions based on earnings not covered by Social Security

If you receive a pension for work not covered by Social Security, your monthly retirement or survivors' benefit may be reduced.

Government Pension Offset (GPO)

This provision affects only individuals who have earned a pension from work not covered by Social Security. Two-thirds of the monthly non-covered pension amount may reduce any spousal benefits you are otherwise entitled. GPO does not reduce any benefits based on your work record covered by Social Security.

Windfall Elimination Provision (WEP)

Your Social Security benefits may be reduced if you are entitled to a monthly pension from work not covered by Social Security and also qualify for Social Security retirement benefits. The years and earnings covered by Social Security determine the reduction, if any.

Each year worked up to starting retirement may affect benefits. The Social Security Administration does not include this reduction on your annual statement. It is calculated when you file for benefits. For 2024, this reduction is limited to the lesser of \$587 or one-half of your non-covered monthly pension.¹

Marital status

Married: Currently married under federal definition of marriage. Applicable spousal benefits and survivor benefits have been included.

Widowed: Currently not married under federal definition of marriage. Survivor benefits have been considered throughout the tool.

Divorced: If you were married for at least 10 years before divorce. You may receive spousal benefits based on an ex-spouse's benefit. It does not have to be the most recent ex-spouse, but your marriage must have lasted ten years. Claiming this benefit will in no way affect your ex-spouses benefits. Anyone born after January 1, 1954 will be deemed to file for both their benefits and any spousal benefits at the same time and receive the higher of the two amounts. They will no longer be able to claim spousal benefits only.

Single: Currently not married under federal definition of marriage (or were married for less than 10 years before divorce). Benefits will only consider your earning record.

¹ Source: <https://www.ssa.gov/planners/retire/wep-chart.html>

File for benefits

You file for all eligible benefits. You must file for all benefits to which you may be eligible, including your own benefit as well as any spousal benefit if one exists. Benefits will be reduced for each month prior to FRA.

File and suspend

Once you have reached FRA, you file your application for benefits and immediately suspend payments until a later date. This allows you to delay benefits up to age 70 to earn delayed retirement credits to increase monthly payments. If you suspend after April 29, 2016, any benefits based on your earnings will also be suspended.

File a restricted application

For individuals born on or before January 1, 1954, once you have reached FRA, you file a restricted application for spousal benefits. This allows you to begin spousal benefits while earning delayed retirement credits. Your spouse must have filed for benefits for you to receive spousal benefits. You apply for your own benefits at a later date and receive increased monthly payments.

Options to change your selection

Within 12 months of starting benefits if you change your mind, you may withdraw your claim and reapply. If approved, you must repay all benefits paid. This is only allowed once.

If you are already receiving benefits, you may suspend current or future payments up to age 70. The suspended payments will automatically resume at age 70, unless you request them sooner.

Voluntary Reinstatement of Benefits

Due to the 2015 Budget Bill Act, retroactive (lump sum) benefits are no longer payable. Reinstating a suspended benefit will only pay an adjusted monthly benefit (including delayed retirement credits).

Precaution if benefits are suspended

If you are enrolled in Medicare Part B, premiums cannot be deducted from suspended payments. You will need to pay them directly or have them automatically paid by your bank.

Cost of living adjustment

Historically prices have risen over time. Social Security Administration reviews the cost of living each year and adjusts benefits accordingly. The 30-year average annual adjustment is 2.5%.

Social Security Administration determines if a cost of living adjustment is made, and if so, how much. Typically, benefits have increased by 2.5% to 3.0% in the past. Using 0% will show basic benefits without any adjustments for inflation. More information can be found at www.socialsecurity.gov/cola.

Break-even

Break-even is the age when total Social Security income from two different filing strategies is the same. Break-even analysis is one way to decide which of two strategies maybe be the best choice for an individual or a couple. In addition, rate of return, income tax rates and cost of living increases may affect the break-even age.

What if you work during retirement?

You may work while receiving Social Security benefits and working may mean higher future benefits. However, while working your benefits may be reduced until you reach full retirement age. After full retirement age, the Social Security Administration will recalculate your benefits considering months when benefits were reduced or withheld due to excess earnings. In any year when earnings are higher than a prior year in your earnings record, the higher year will be used to recalculate your PIA and your payment amount.

The excess earnings limit in 2024 is \$22,320. A formula determines the amount benefits will be reduced based on your age. If you are under full retirement age for the entire year, benefits will be reduced \$1 for every \$2 earned above the limit. In the year you attain full retirement age, the deduction will be \$1 for every \$3 over \$59,520 (2024). Starting with the month you reach full retirement age, there is no longer a reduction in benefits or a limit to the amount you may earn.

If Social Security Administration is notified in advance of your anticipated monthly earnings, they will adjust your payments accordingly. If Social Security Administration learns of the excess earnings later, they withhold all future payments until excess benefits are recovered.

Modified Adjusted Gross Income (MAGI)

MAGI is generally defined as all of your taxable income, plus certain net foreign income, minus allowed deductions. MAGI may include income such as taxable pensions, wages, interest, dividends, and other taxable income plus tax-exempt interest income (such as interest on municipal bonds) and any exclusion from income, such as interest from US savings bonds. See Internal Revenue Code Section 86b(2) or Internal Revenue Service Publication 915 for more information.

Be sure to consider your retirement plan distributions. Generally, all distributions from IRAs and employer plans will be included in MAGI. Roth IRA distributions will not be included.

Effective tax rate

The effective income tax rate is the average rate at which income is taxed. It takes into account the deductions and credits used to compute income taxes. It is total income taxes divided by total income, and is less than the "tax bracket" or marginal rate.

How are Social Security benefits taxed?

About one out of three people who get Social Security have to pay income taxes on their benefits. Combined income is the sum of your MAGI plus nontaxable interest plus half of your Social Security benefits.

- If you are married and file a joint return, up to 50% of your benefits may be taxable if you and your spouse have a combined income that is between \$32,000 and \$44,000. If your combined income is more than \$44,000, up to 85% of your Social Security benefits is subject to income tax.
- If you are married and file a separate return, you may pay taxes on your benefits.
- If you are single and your combined income is between \$25,000 and \$34,000, you may have to pay taxes on up to 50% of your Social Security benefits. If your combined income is more than \$34,000, up to 85% of your Social Security benefits is subject to income tax.
- No more than 85% of your total benefits is taxable.¹

For more information

Your Social Security Administration office is an excellent source for questions about your benefits. The website (www.ssa.gov) is extremely helpful. This report should help you frame your thoughts before filing. It shows strategies that you may not have considered. It helps reduce guessing or rules-of-thumb by calculating almost all possible combinations and illustrating the largest benefit.

¹ ssa.gov Retirement Benefits booklet

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